THE GROUP OF TWENTY (G-20)

Group of Twenty (G-20) is a group of Finance Ministers and Central Bank Governors from 20 economies. The G-20 comprises 19 countries plus the European Union, which is represented by the President of the European Council and by the European Central Bank.

The backdrop for the formation of G-20 was provided by the economic crisis of the late 1990s. This crisis brought the emerging market countries closer, and their regular interactions at fora like the G-7, G-22 and G-33 showed the benefit of regular dialogue with a constant set of participating countries to address global financial issues and reduce the risk of global economic crisis. This gradually led to the institutionalization in the form of G-20 in 1999. From 2008 the G-20 Heads of State Summits initiated.

The objectives of the G-20 Summit are:

1. Policy coordination between its members in order to achieve global economic stability, sustainable growth;
2. To promote financial regulations that reduce risks and prevent future financial crises; and
3. To create a new international financial architecture.

The member countries are Argentina, Australia, Brazil, Canada, China, France, Germany, India, Indonesia, Italy, Japan, Mexico, Russia, Saudi Arabia, South Africa, Republic of Korea, Turkey, United Kingdom, United States of America. Several countries that are not permanent members of the G-20 are extended invitations to participate in the summits. The invitees are chosen by the host country. As in the 2010 Summits, both Canada and South Korea invited Ethiopia (Chair of NEPAD), Malawi (Chair of the African Union), Vietnam (Chair of ASEAN), and Spain. Canada also invited the Netherlands, while South Korea invited Singapore. Both Canada and South Korea invited seven international organizations— the United Nations, the International Labour Organization, the World Bank, the International Monetary Fund, the Organization for Economic Cooperation and Development, the World Trade Organization, and the Financial Stability Board.